

SLIPPING ON AN OIL SLICK

The defiant transport minister's alleged misuse of power embarrasses the Government but the compulsions of coalition politics make the prime minister a silent spectator

■ By Anand Natarajan
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He was always known as a man of letters. But Prime Minister Manmohan Singh is doing all he can to distance himself from the eight controversial letters his office is supposed to have sent recently. Unfortunately for a man who was known as Mr Clean—before he moved into 7 Race Course Road—the latest scandal to hit the Government leads right up to his office. According to the Opposition, the UPA's Shipping and Transport Minister T.R. Baalu of the DMK had used his ministerial powers to "persuade" the Petroleum Ministry to supply natural gas to two companies owned by his sons. And the PMO is reported to have sent as many as eight reminders to the ministry. Now, the Opposition wants a clarification from the prime minister. "The prime minister is presiding over the most corrupt Government in India's history," thundered Leader of the Opposition L.K. Advani and added, "While Prime Minister Dr Manmohan Singh's personal integrity is beyond doubt, it is now equally beyond doubt that he is neither able nor trying to enforce probity in his Government."

The Congress party's attempts to defend the PMO were cosmetic at best. "The PMO has not recommended or directed anything but forwarded them (the letters) in a routine manner," said spokesman Abhishek Manu Singhvi, adding that forwarding did not mean endorsing. Few bought that line. BJP is also questioning UPA chairperson Sonia Gandhi's silence on the matter. Congressmen try to explain their silence as compulsion of coalition poli-

tics. Unlike Natwar Singh's and Jagdish Tytler's cases, where both the ministers were forced to step down until charges against them were cleared, Baalu belongs to a key ally—the DMK. "It is for M. Karunanidhi to decide Baalu's fate. Not the prime minister or the UPA chairperson," said a Congress general secretary. With 15 Lok Sabha MPs from the DMK supporting the Government, arithmetic wins over ethics any day.

For his part, Baalu does not think he has done anything wrong. He refused to resign and instead told the House, "I just put in a word to the Petroleum Ministry after the request of the employees and shareholders of the two loss-making units. What is wrong with that?" The crux of the controversy lies right here. The beleaguered shareholders include the minister himself, his two sons and his two wives T.R.B. Porkodi and B. Renukadevi. All of them are large shareholders in the companies, Kings India Power Corporation and Kings India Chemical Corporation. While Baalu's affidavit before the Election Commission mentions this, he says he himself does not hold any position in these two companies. Interestingly, the matter came to light when Janata Party president Subramanian Swamy wrote to the prime minister seeking sanction to prosecute the minister.

Though Baalu claims that he had only "put in a word" to the ministry, a letter written by U.D. Choubey, chairman and MD of GAIL (India) Ltd last March to R.S. Sharma, chairman and MD of ONGC, mentions that the petroleum and the surface transport ministers had held talks regarding the supply of natural gas from the Cauvery basin to Kings Chemical and Kings Power companies

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"I JUST PUT IN A WORD TO THE PETROLEUM MINISTRY AFTER THE REQUEST OF THE EMPLOYEES AND SHAREHOLDERS OF THE TWO LOSS-MAKING UNITS. WHAT IS WRONG WITH THAT?"

on June 28, 2006. This letter has been leaked to the media. V. Maithreyan of AIADMK, who was the first to raise the matter in the Parliament, told INDIA TODAY that the officials of both ONGC and GAIL were called to the Petroleum Ministry and given instructions regarding the supply of gas to Baalu's firms. According to him, the ministry was "arm-twisted" by Baalu into complying with his demands. More interesting is a